PRIVILEGED & CONFIDENTIAL — SUBJECT TO LEGAL ADVICE PRIVILEGE

IN THE MATTER OF HALSTEAD AEROSPACE LIMITED v FERNCLIFFE ALLOYS LIMITED

Claim No. HT-2025-000612

ADVICE ON MERITS AND QUANTUM

Counsel: Catherine Rosenthal KC, Eldon Chambers | Solicitors: Whitfield Carter LLP | 3 March 2025

Introduction

1. I am asked to advise Halstead Aerospace Limited ("Halstead") on the merits and quantum of its claim against Ferncliffe Alloys Limited ("Ferncliffe") arising from the supply of non-conforming Ti-6Al-4V bar (heats FA-7733 and FA-7741), and on the appropriate strategy ahead of issue.

Liability

2. In my opinion the claim on liability is strong. The contractual warranties at clause 8 are clear, and the implied terms under sections 13 and 14 of the Sale of Goods Act 1979 add little but do no harm. The central battleground is causation: whether the non-conformity (in particular the alpha-case) existed on delivery or was introduced by Halstead's own processing.

3. On that issue Dr Frost's evidence is compelling. The beta-flecks are a casting feature that can only pre-date delivery, and the alpha-case is present on retained, un-machined reference sections. Ferncliffe's 'you did it during machining' defence is, in my view, difficult to sustain on the metallurgy, and I would expect it to fall away once experts have met.

4. Ferncliffe's better point is the acceptance/notification argument under clause 12 — that Halstead is deemed to have accepted the goods because it did not reject within 30 days. I am not greatly troubled by this: the defects were latent and not reasonably discoverable within 30 days given the time that full metallographic verification takes, and clause 12 should be read consistently with the warranty regime. But Halstead should be ready to lead clear evidence (via Ms Forsythe) on the ordinary timeline of aerospace incoming inspection, which it can.

Quantum

5. The pleaded quantum of £2,917,070 in direct losses is, in my view, properly arguable but carries litigation risk on two heads. First, the £412,000 liquidated-damages exposure to Caldera is the most vulnerable to a remoteness challenge; I would plead it but treat it as a 'give' in negotiation. Second, the 14-day line-stop at £21,500/day will be attacked as over-stated; the contemporaneous Bay 4 idle-time log is good evidence but I would expect some erosion at trial.

6. Stripping out the most vulnerable elements, I would assess Halstead's realistic recoverable core at around £2.2m to £2.5m, with the balance as negotiating margin. I would not settle below £1.9m without good reason.

Interest and strategy

7. On interest, I see no reason to be timid: I would claim 5% under section 35A rather than 4%, reflecting Halstead's actual cost of borrowing, and invite the Court to award on that basis. The Particulars should be amended accordingly before issue.

8. Strategically I advise issuing in the TCC, proposing a single joint discipline of metallurgical expert evidence, and signalling willingness to mediate after exchange of expert reports — by which time

Halstead's position should look at its strongest. A well-pitched Part 36 offer at around £2.2m, made after the experts have met, would in my view put significant pressure on Ferncliffe.

CATHERINE ROSENTHAL KC

Eldon Chambers — 3 March 2025